Pinnacle Dynamics Inc.

Financial Statements — Year Ended December 31, 2024

Toronto, Ontario · CAN-Corp No. 8841-7203 · Audited · IFRS

Pinnacle Dynamics Inc. is a mid-market technology and engineering services firm headquartered in Toronto, Ontario. Founded in 2011, the company delivers integrated software platforms, precision hardware components, and managed services to clients in the aerospace, energy, and advanced manufacturing sectors across North America and Western Europe. The company employs approximately 620 full-time employees with regional offices in Calgary, Montréal, Detroit, and Stuttgart.

FINANCIAL HIGHLIGHTS

Metric	FY 2024	FY 2023	Change
Total Revenue	$87,420,000	$79,150,000	+10.5%
Gross Profit	$38,270,000	$33,814,000	+13.2%
EBITDA	$14,930,000	$12,460,000	+19.8%
Net Income	$8,115,000	$6,703,000	+21.1%
Total Assets	$112,340,000	$98,870,000	+13.6%
Total Equity	$61,450,000	$54,220,000	+13.3%
Earnings per Share (basic)	$4.06	$3.35	+21.2%
Dividend per Share	$0.80	$0.70	+14.3%

All amounts in Canadian dollars (CAD). Prepared under IFRS as adopted by the CPA Canada Handbook. Rounded to the nearest dollar unless otherwise stated.

Consolidated Statement of Financial Position

As at December 31 · (CAD, thousands)

Assets	2024	2023
Current assets		
Cash and cash equivalents	18,420	14,310
Trade receivables, net	12,850	11,640
Contract assets	4,770	3,980
Inventories	6,230	5,870
Prepaid expenses and other	1,190	980
Total current assets	**43,460**	**36,780**
Non-current assets		
Property, plant and equipment, net	29,140	27,350
Right-of-use assets	8,320	9,010
Intangible assets, net	18,650	16,490
Goodwill	10,200	7,200
Deferred tax assets	2,570	2,040
Total non-current assets	**68,880**	**62,090**
Total Assets	**112,340**	**98,870**

Liabilities and Equity	2024	2023
Current liabilities		
Trade payables	9,640	8,420
Accrued liabilities	4,210	3,870
Contract liabilities (deferred revenue)	3,580	3,100
Current portion of long-term debt	2,500	2,500
Lease liabilities — current	1,340	1,290
Total current liabilities	**21,270**	**19,180**
Non-current liabilities		
Long-term debt	22,500	19,000
Lease liabilities — non-current	5,420	4,840
Employee benefit obligations	1,700	1,630
Total non-current liabilities	**29,620**	**25,470**
Total liabilities	**50,890**	**44,650**
Equity		
Share capital (2,000,000 shares issued)	12,000	12,000
Retained earnings	47,250	40,720
Accumulated other comprehensive income	2,200	1,500
Total equity	**61,450**	**54,220**
Total Liabilities and Equity	**112,340**	**98,870**

Approved by the Board of Directors on February 18, 2025. The accompanying notes form an integral part of these statements.

Consolidated Statement of Comprehensive Income

Year Ended December 31 · (CAD, thousands)

	2024	2023
Revenue		
Software licences and SaaS subscriptions	34,960	30,470
Engineering services	31,820	29,650
Hardware and components	14,280	13,090
Managed services	6,360	5,940
Total revenue	**87,420**	**79,150**
Cost of revenue		
Cost of software and SaaS	10,490	9,750
Cost of engineering services	22,780	21,420
Cost of hardware	10,840	10,040
Cost of managed services	5,040	4,126
Total cost of revenue	**49,150**	**45,336**
Gross profit	**38,270**	**33,814**
Operating expenses		
Research and development	8,740	7,915
Selling, general and administrative	12,350	11,430
Depreciation and amortization	2,250	2,009
Total operating expenses	**23,340**	**21,354**
Operating income (EBIT)	**14,930**	**12,460**
Other income / (expense)		
Finance income	310	240
Finance costs	(1,870	(1,640
Foreign exchange gain / (loss)	125	(88
Total other	**(1,435**	**(1,488**
Income before tax	13,495	10,972
Income tax expense	**(5,380**	**(4,269**
Net income	**8,115**	**6,703**
Foreign currency translation differences	700	320
Total comprehensive income	**8,815**	**7,023**
Earnings per share		
Basic (CAD)	$4.06	$3.35
Diluted (CAD)	$3.98	$3.29

STATEMENT OF CHANGES IN EQUITY (CONDENSED)

	Share Capital	Retained Earnings	AOCI	Total
Balance — Jan 1, 2023	12,000	35,617	1,180	48,797
Net income	—	6,703	—	6,703
Other comprehensive income	—	—	320	320
Dividends declared	—	(1,600	—	(1,600
Balance — Dec 31, 2023	**12,000**	**40,720**	**1,500**	**54,220**
Net income	—	8,115	—	8,115
Other comprehensive income	—	—	700	700
Dividends declared	—	(1,585	—	(1,585
Balance — Dec 31, 2024	**12,000**	**47,250**	**2,200**	**61,450**

Consolidated Statement of Cash Flows

Year Ended December 31 · (CAD, thousands)

	2024	2023
Operating activities		
Net income	8,115	6,703
Depreciation and amortization	2,250	2,009
Share-based compensation	620	510
Deferred income tax	(530	(280
Loss on disposal of assets	90	45
Change in trade receivables	(1,210	(870
Change in inventories	(360	140
Change in contract assets	(790	(530
Change in trade payables and accruals	1,560	990
Change in contract liabilities	480	310
Net cash from operating activities	**10,225**	**9,027**
Investing activities		
Purchase of property, plant and equipment	(4,680	(3,920
Capitalized development costs	(3,420	(2,800
Acquisition of business, net of cash	(3,000	—
Proceeds from disposal of equipment	140	95
Net cash used in investing activities	**(10,960**	**(6,625**
Financing activities		
Proceeds from long-term borrowings	8,000	5,000
Repayment of long-term debt	(2,500	(2,500
Payment of lease liabilities	(1,370	(1,240
Dividends paid	(1,585	(1,600
Debt issuance costs	(185	(120
Net cash from financing activities	**2,360**	**(460**
Effect of exchange rate changes on cash	485	112
Net increase in cash	2,110	2,054
Cash and equivalents — beginning of year	**14,310**	**12,256**
Cash and equivalents — end of year	**18,420**	**14,310**
Supplemental information		
Interest paid	1,780	1,570
Income taxes paid	5,910	4,100

SELECTED NOTES

1. Basis of Preparation

Prepared under IFRS as issued by the IASB. Presented in CAD, rounded to the nearest thousand. The statements were approved by the Board on February 18, 2025.

2. Revenue Recognition

Revenue is recognized when performance obligations are satisfied per IFRS 15. Licences are recognized at a point in time; SaaS subscriptions and managed services ratably over the contract term; fixed-price engineering contracts using percentage-of-completion based on costs incurred.

3. Long-Term Debt

Senior secured revolving facility of up to CAD 35,000,000 with RBC Corporate Banking at CORRA + 1.85%, maturing March 15, 2027. CAD 25,000,000 drawn at year-end. Covenants: max Total Debt / EBITDA 3.5×; min Interest Coverage 3.0×. Both met throughout FY 2024.

4. Subsequent Events

On January 22, 2025, the Company entered into a letter of intent to acquire Stratford Precision Systems Ltd. for approximately CAD 12,000,000. Closing expected Q2 2025, subject to customary conditions and regulatory review.

Independent Auditor's Report — Ernst & Young LLP issued an unqualified opinion on these statements on February 18, 2025. Engagement partner: Sandra K. Worthington, CPA, CA.